



Service Planning & Budgeting

Week 4 - Budgeting Control





Learning Outcomes

- The lesson aims to develop learners understanding on budgeting control

Objectives

At the end of the session, learners should be able to;

- Explain the Budget Control Process
- Understand Profiling
- Understand the Importance of Budgetary Control



Recap of Last Session

- What is the role of budget in managing service planning?
- Briefly explain different types of budgets



Budgetary Control

Budgetary control is the process by which managers check and respond to the evolving position of actual income and expenditure budgets during the year. At its simplest the process involves:

- Checking that financial information is accurate
- Comparing actual income and expenditure figures with what was expected up to this point in the year and identifying and investigating any significant differences, or variances
- Projecting the likely budget position at the year end and acting as required.



Effective Budgetary Control

Causes budget managers to engage with, and act upon, financial information;

Permits the early identification of potential underspends in a way that enables action resulting in the best use of resources, rather than perhaps a year end 'spend up';

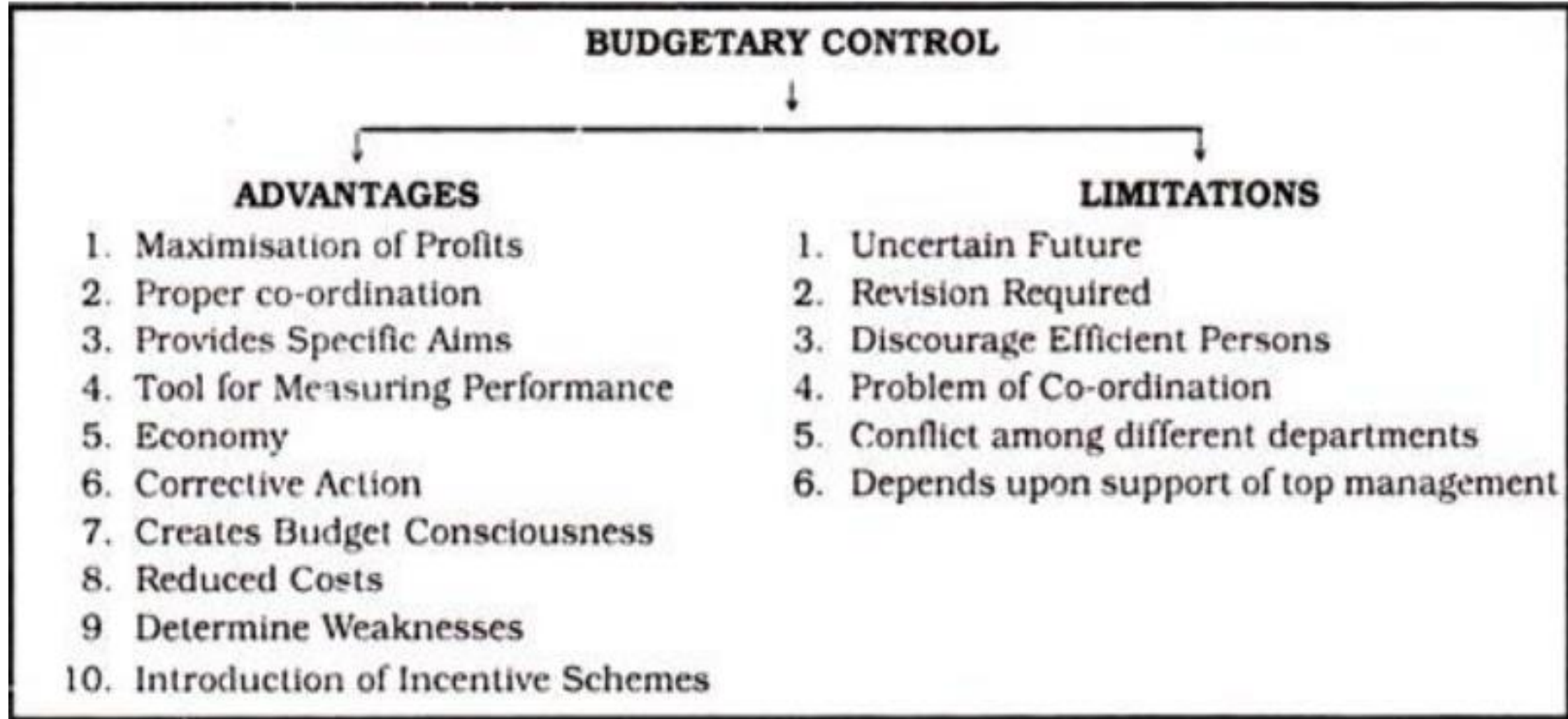
Permits the early identification of potential overspends, this allowing gentle corrective action rather than the more brutal action needed when overspending becomes apparent towards the year end. Early action reduces the likelihood that clients fail to receive the standard of service they need, avoids staff being put under intense and unnecessary pressure and helps preserve performance and morale;

Reduces the likelihood of 'stop/go' purchasing and the consequential negative impact on clients, staff and other stakeholders;

Is a source of organisational learning.



Advantages and Limitations of Budgetary Control





Reporting process

The reporting process of a budget varies in different organisations. Some organisation gives the budgetary control responsibility to;

- Finance staff : this staff may not be able to complete the process without the help of the budget manager who understand the important variances and actions that are required. Organisation of this nature turns to accountant for budget information rather than their budget manager.
- Managers: this staff assume full budget responsibility and are assisted by finance staff who provide financial information and technical support, along with corporate level strategic budget monitoring. Budget estimation, negotiation, approval and control are all exercised within the managerial line.



Key Questions That Directs The Focus Of Budgeting Control

- How are we doing?
- How much of the budget is left?
- What will the year-end position look like?

Only a few managers focus on all three questions. Most managers will focus on only one or two of these questions based on their organisational and personal preferences



Table 1: Budgetary Control Example-1

Budget for £12,000	Budget to 31 August	Actual to 31 August	Variance to 31 August
	£	£	£
Stationery	5,000	4,912	-88



Table 2: Budgetary Control Example-2

Budget for the year £12,000	Budget for August	Actual for August	Variance for August	Budget for year to 31 August	Actual for year to 31 August	Variance for year to 31 August
	£	£	£	£	£	£
Stationery	1,000	920	-80	5,000	4,912	-88



Profiling

- This is an important information needed for the purpose of budgeting control

A budget to date', or budget profile is a budgetary control statements that reveals the amount of the budget that it is expected to be spent or earned by a point in time



Commitment

- Outstanding committed costs are commitments to pay for something you have ordered or received but have not yet paid for.
- For example, purchase order items that are yet to be invoiced, or stock allocations and timesheets that have not yet been posted.
- Despite efforts to control costs, many businesses still suffer from budget overruns.
- A frequent cause of this is that committed costs are not managed effectively.



EXAMPLE

This example relates to a budget of £100,000 of which £80,000 is expected (profiled) to have been spent by the end of month eight.

Payments of £73,500 appear on the computer and at first glance it appears that this budget is underspent by £6,500 ($£80,000 - £73,500$) and £26,500 ($£100,000 - £73,500$) remains in the budget.

However, assuming in this example that the total value of official orders issued but not yet paid is £7,500, the position is actually quite different as shown in Table next slide. In order to get a more realistic view of actual spending and what is left the value of outstanding orders needs to be taken into account.



Example of Commitment Recording

Budget for year		£100,000
	£	£
Profiled budget (months 1–8)		80,000
Payments (months 1–8)	73,500	
Commitments (months 1–8)	7,500	
Expenditure (months 1–8)		81,000
Budget position (overspent at month 8)		1,000
Budget remaining		19,000



Understanding Budget Reports

The format of a budget report varies from one organisation to the other and the terms used will be subject to the organisational culture and the preference of the finance staff



Example of Budget Report

Approved budget for the year

The income or expenditure expected at this point in the year (profile)

Description of the budget and expenditure or income code

Actual income and expenditure recorded by the main accounting system at this point in the year

Budget	Code	Annual budget	Budget to date	Actual to date	Variance to date		Budget unspent	Budget holder forecast
			(£)	(£)	£	%	(£)	(£)
1	2	3	4	5	6	7	8	9
Grounds maintenance	02 044 000	100,000	80,000	73,500	-6,500	-8.1	26,500	

The amount of underspend or overspend at this point in the year

Percentage underspend or overspend based on budget to date

The amount of the budget left after deducting actual to date (column 5) from the annual budget (column 3)

Budget manager estimate of actual year-end figures to be inserted



Forecasting The Year End

Understanding the budget position is the ability of the budget manager to estimate year end figures. Good quality estimates of the likely year end budget position combine the following:

- Accurate actual income and expenditure information in respect of the year to date;
- Anticipated income and expenditure for the rest of the year taking account of the estimated financial impact of changes in the service and intended actions in respect of any under-spend and overspend to date



How does forecasting impact on budgets?

- Forecasts tend to be more strategic than budgets, providing you with a roadmap of where your business is expected to go that's based on historical data and business drivers
- Generally, it's restricted to revenue and expenses, and unlike budgets, forecasts are updated regularly (i.e. monthly or quarterly)
- Forecasting is a technique that uses historical data as inputs to make informed estimates that are predictive in determining the direction of future trends. Businesses utilize forecasting to determine how to allocate their budgets or plan for anticipated expenses for an upcoming period of time



Control Actions

Effective budgetary control requires good quality information, careful consideration of variances, honest estimates of the year end position and early action.

Examples of some forms of control action are;

- Taking steps to increase or decrease service volume and quality over the remaining months of the year to bring the need for resources in line with remaining budget.
- Reminding staff of the need to plan and control their use of resources carefully.
- Delaying committing particular expenditure for the time being or even, perhaps, for the rest of the year.
- Moving money between budgets; a practice common in some voluntary and most public sector organisations and referred to as 'virement'.



Stages of Budgetary Control

Stage 1 – Check

- * *Calculate/check profile*
- * *Calculate updated actual*
- * *Calculate any changed variances*
- * *Examine bottom line*

Budgetary control information received electronically or as a printed statement. Obvious omissions or problems adjusted for and overall picture understood.

Stage 2 – Investigate

- * *Determine which variances to investigate*
- * *Investigate selected variances*
- * *Where appropriate update profile/actual and recalculate variances*

Significant variances are identified and the causes investigated. The outcome of this is a clear understanding of the detailed budget position.

Stage 3 – Project and Act

- * *Project year end position*
- * *Take action*

An estimate of the year end position is prepared and action taken as necessary.



References

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- Reed, Z. (n.d). *Health and social care: what future for joint planning?* Camden Social Services Department. Available at: <http://www.psi.org.uk/publications/archivepdfs/Making/18-REED.pdf> [Accessed 05 April 2020].
- Clark, I., Gow, J., Thomson, J., and Ritchie, A. (2015). *A Guide to Budgeting and Financial Performance Management in the Scottish College Sector*. Available at: <https://www.cdn.ac.uk/wp-content/uploads/2015/10/A-guide-to-budgeting-and-finance-performance-management-pdf.pdf> [Accessed 5 May 2020]



Exercise: Your Exit Ticket

- Write one thing you learned today.
- Write one *question you have* about today's lesson.
- Did you enjoy working in small groups today?